

Assignment # 2

- 1) Here is a link to HawkEye 360 Inc. ("HAWK") Registration Statement.

[HAWK S-1/A](#)

From its filing and specifically its financial statements answer the following:

- a) What is the increase in HAWK revenues during 2024-2025 (in percentages)
 - b) What is the gross margin in each of the years 2024 and 2025
 - c) How much cash was generated or used in each of the years from operating activities.
 - d) How many serieses of Redeemable Convertible Preferred Stock HAWK has as of December 31, 2025? What is unique about those Preferred shares?
 - e) Explain in few sentences (do not copy-paste) the rights (features) associated with the Redeemable Convertible Preferred Stock (tip: check the Notes to the financial statements).
- 2) On 1/7/24 Fiverr International Ltd. ("FVRR"), granted 10,000 options to its employee at an exercise price of market price. The options will vest over a 4 years period (1 year cliff and then 1/48 every month).
- a) What is the option value at day of grant (assume risk-free rate 4.5%, dividend yield – 0%). What will be recorded in company's F/S on day of grant?
 - b) What will be recorded in the F/S for the year ended 31 Dec. 2024 with respect to these options (assume a straight-line amortization)?
 - c) Due to AI tools and agents, on 1/2/26 the company decided to dismiss the employee to whom those 10,000 options were granted with a 90 days notice period. What will be recorded as a result?
- *) For this question use real share price data (from "Yahoo! Finance" for example)